

Is there any way we can prove that we are honest and reestablish a good credit rating?

Yes. Once the bankruptcy is cleared, you can continue to pay the entirety of the debts you owe. After a creditor is completely paid off, ask the creditor to write you a letter of recommendation and send a copy to the local credit reporting agencies. Many agencies will include letters of recommendation in their official credit reports. But you can also give the letters to a potential lender when you apply for a loan yourself.

The best recommendation I can give to anyone is to pay back what you borrow and never borrow frivolously. Remember, “A good name is more desirable than great riches; to be esteemed is better than silver or gold” (Proverbs 22:1).

What would happen if I lose my job for any reason?

If you’re repaying debts under Chapter 13, notify your bankruptcy court trustee immediately to see about an adjustment to your plan.

Anyone who is not under a court order, such as a bankruptcy, needs to stay in direct contact with the creditors and tell them the absolute truth. Most creditors will work with a debtor who has temporary financial problems, as long as the debtor is trying to be fair and honest.

What about personal or corporate lawsuits?

In the present generation, it is not impossible or unlikely to be sued for millions of dollars over an accident. Also, considering the present climate in jury decisions, it is not uncommon to be assessed huge damage awards. Is it scripturally acceptable then to file for bankruptcy protection, rather than be wiped out financially because of an accident lawsuit? Again, there are no easy answers to that question. A Christian who is faced with such a dilemma needs to pray about the situation when it happens and trust in God’s personal guidance.